

Tempus AI, Inc.
TEM NASDAQ

Buy	\$47.77 ▲ 3.44%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.58B
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TEM: BMS Partnership, ArteraAI Launch Reinforce Platform Flywheel

WHAT'S CHANGED

- TEM +3.44% to \$47.77 on light volume (2.68M vs. 4M+ 5-day avg), extending a 5-session rally of ~+4.9% off \$45.53, as Technology ETF (+2.25%/+5.79% 1D/5D) provides macro tailwind.
- Two catalysts in 72 hours: (1) ArteraAI Prostate Test launch — first externally developed digital pathology algorithm on TEM's platform, validating the AI-applications strategy; (2) expanded Bristol Myers strategic partnership deepens pharma drug-development revenue stream.

IMPLICATIONS

The BMS deal extends TEM's pharma data licensing book — historically the highest-margin segment — and signals durable demand for multi-modal clinical+molecular datasets in oncology drug development. ArteraAI's launch is strategically more important than near-term revenue: it positions Tempus as the de-facto distribution platform for third-party algorithms (an "app store" model), accelerating operating leverage without proportional R&D spend. Together these reinforce the flywheel thesis (Genomics volume → data scale → Data/AI revenue) that underpins multiple expansion.

VALUATION

At \$8.58B market cap on ~\$1.29B FY26E revenue, TEM trades at ~6.6x EV/Sales — a meaningful discount to high-growth diagnostics/AI peers (10–15x) reflecting persistent losses and dilution overhang. Our \$68 PT assumes 8.5x FY27E revenue of \$1.65B, implying ~42% upside; rerating catalysts are Data segment growth sustaining >40% YoY and a credible path to adjusted EBITDA breakeven by late-2027. Stock sits at just 10% of 52-week range, suggesting risk/reward is asymmetric to the upside absent execution missteps.

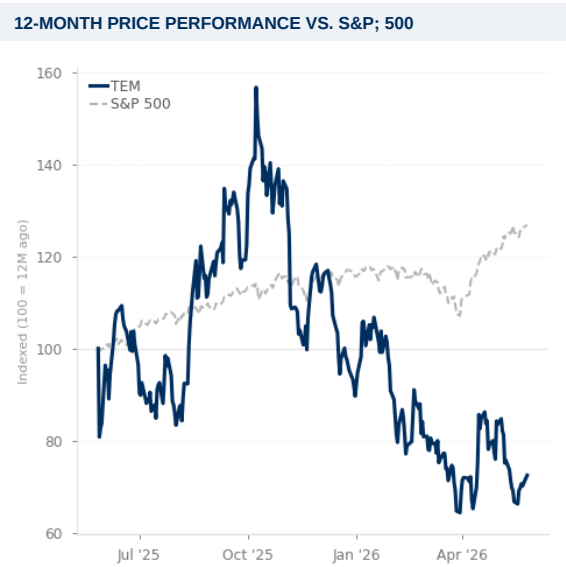
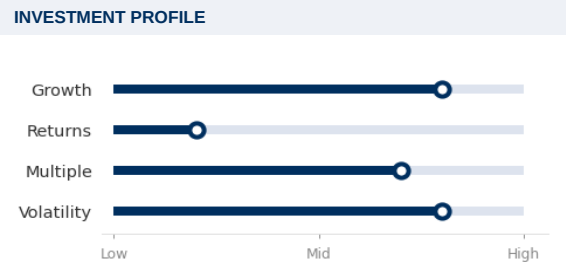
KEY RISKS

- Cash burn and dilution risk — sustained operating losses could force secondary offering, capping near-term upside.
- Reimbursement risk on Genomics testing (LDT regulation, Medicare rate pressure) could compress unit economics.
- Pharma partnership revenue is lumpy and concentration-heavy; loss of a top-3 pharma customer would impact data revenue trajectory materially.

RECENT NEWS

- Tempus AI (TEM) Launches ArteraAI Prostate Test, The First Externally Developed Digital Pa...** Insider Monkey · 2026-05-24 13:06
- Tempus AI, Inc. (TEM) and Bristol Myers Announce a Strategic Partnership** Insider Monkey · 2026-05-23 04:49

Key Data	
Price (USD)	\$47.77
12M Price Target	\$68.00
Upside / (Downside)	+42.3%
Market Cap	\$8.58B
FY2026E Revenue	\$1,290M
FY2027E Revenue	\$1,650M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$55.00	\$50.00	\$43.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$95.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+5.79% 5D), Utilities (+3.63% 5D)

COLD SECTORS: Financials (+0.38% 5D), Materials (defensive bid)

ROTATION WATCH: Strong Tech leadership with Utilities bid suggests a barbell — risk-on growth coexisting with rate-cut positioning. This backdrop favors high-beta AI/data names with credible secular narratives like TEM as money rotates back into long-duration growth.

BYPRODUCT PLAY: Healthcare AI infrastructure and oncology-focused dx (SDGR, RXRX, GH) benefit from same pharma-AI capex cycle; an "ArteraAI app-store" model could draw incremental third-party algorithm developers as platform partners.

OUTPERFORMERS & PEER CONTEXT

- NVDA (NVIDIA): underpinning Tech ETF's +5.79% 5D move; AI infrastructure capex cycle directly funds pharma-AI data buyers like TEM.
- ISRG (Intuitive Surgical): healthcare tech compounding at premium multiple — benchmark for what TEM could rerate to with profitability.

TEM CONTEXT: TEM is lagging broader Tech (+3.44% 1D vs. XLK +2.25%, but only ~+5% 5D vs. Tech +5.79%) and sits at just 10% of 52-week range — meaningful underperformance vs. AI cohort. Recent news catalysts have stabilized the tape; a breakout above \$52 would confirm peer catch-up trade.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$44-48 on pullbacks; add above \$52 on volume confirmation

Time Horizon: 12-24 months

Thesis Invalidation: Data segment growth <30% YoY or BMS-style pharma deals stall

Hedging: Pair vs. short basket of unprofitable AI-healthcare names (e.g., RXRX)